

RYERSON HOLDING CORP RYZ

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by

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			2026	2027
Price:	27.79	EPS	0	0
Shares Out. (in M):	54	P/E	0	0
Market Cap (in \$M):	1,441	P/FCF	0	0
Net Debt (in \$M):	912	EBIT	0	0
TEV (in \$M):	2,353	TEV/EBIT	0	0

Description

We're long shares of Ryerson (RYZ) formed by the recently closed merger of publicly traded Ryerson and Olympic Steel (previously ZEUS). The all stock transaction (1.7105 RYZ shares for every Zeus share = 37% of combined company) closed on February 13, 2026 and the most recent quarter was the first full quarter as a combined company. The combined company is a leading North American value-added processor and distributor of industrial metals, providing a range of carbon steel, stainless steel, and aluminum products to various manufacturing end markets.

RYZ is well positioned to benefit from:

- A well-timed strategic merger following a capital investment cycle at legacy RYZ
- Significant merger synergies that are already running ahead of schedule
- Increased scale in a consolidating industry
- Onshoring in North America due to tariff and government programs
- Deleveraging the balance sheet while gaining market share and increasing margins

The combined RYZ is the second largest metals service center in North America behind Reliance. Legacy RYZ was more of a commodity distributor with 2x the revenue of the acquired Olympic Steel – which operated under more of a contracted, value-add business model. RYZ historically had more exposure to stainless steel and aluminum while Olympic over indexed to carbon steel.

In addition to the combined synergies – the two businesses are complementary, adding scale at a time of industry consolidation as customers onshore to North America.

From an operations standpoint, the merger was well-timed as legacy RYZ had just completed a multi-year capital investment centered on value-added processing and modernizing its advanced service center network, while completing the dreaded ERP implementation.

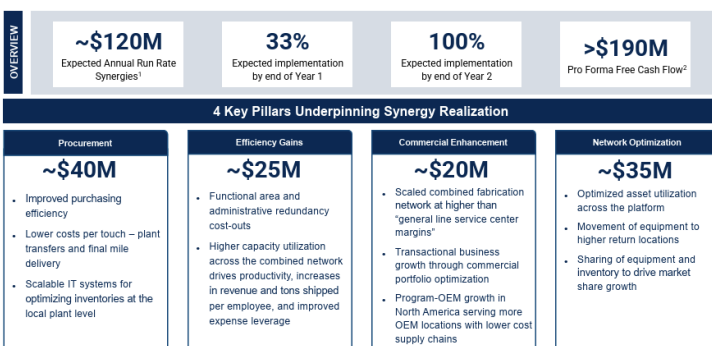
Year CapEx (Millions USD)

2016	\$23.0
2017	\$25.1
2018	\$38.4
2019	\$45.8
2020	\$26.0
2021	\$59.3
2022	\$105.1
2023	\$121.9
2024	\$99.6
2025	\$51.5

With the capital investment cycle in the rearview, management can devote all attention to the merger integration while optimizing facilities across the larger footprint for contract and spot business.

At the time of the merger management guided to \$40 million in year 1 synergies and \$120 in two years, across four buckets.

COMPELLING SYNERGY OPPORTUNITY



Note: ¹ Synergy estimate is preliminary and subject to change; synergy realization subject to estimated ~\$40M non-recurring cost to achieve across years 1 & 2; ² 2024 Figure includes run-rate

Many of the key executives from Olympic Steel stayed on in new roles, including former CEO Richard Marabito who now serves as COO. The continuity has helped the combined company hit the ground running post-integration, with annualized run-rate synergies now guided to hit \$52-\$56M in year 1, only a quarter and a half after setting an initial target of \$40M.

In the first full quarter as a combined company synergies are updated as follows:

Olympic Iron Board

Achieved Q2 synergy realization target; projecting \$13-14 million in Q3

Synergy Pillar	Two-Year Target Run-Rate	Q2 P&L Realized	Q3 P&L Expected ¹	Annualized Run-Rate Synergies ¹	Q3/Q4 Milestones ¹
Procurement	\$40M	\$2.0	~\$6.5	~\$26	Continue supplier harmonization
Operating Efficiency	\$25M	\$1.5	~\$3	~\$12	Eliminate duplicate costs / increase labor productivity
Commercial Enhancement	\$20M	\$0.5	~\$2	~\$8	Exercise expanded scale and assets to expand and create opportunities
Network Optimization	\$35M	\$1.0	~\$2	~\$8	Utilize in-house processing capabilities and optimize asset utilization
Total	\$120M	\$5M	~\$13-14M	~\$52-56M	Achieve first-year annual run-rate target

First-year annual run-rate synergy target:
\$40 million
Two-year annual run rate synergy target:
\$120 million

Commercial enhancement synergies include business not previously achievable due to system, technology, equipment, or location limitations

Network optimization synergies include margin expansion through utilizing in-house processing capabilities vs. outside processing

¹ Q3 P&L Expected, ¹ Annualized Run-Rate Synergies, and ¹ Q3/Q4 Milestones are projections based on management expectations and include assumptions for pricing and volumes in the third quarter

In addition to the merger synergies, the combined business is taking share with same-store shipments up 5.8% year-to-date vs the up 2.9%.

RYZ led a much needed wave of industry consolidation and there have been a number of mergers and partnerships announced in the past year. Worthington Steel made a multi-billion acquisition of a German firm, and other international companies have been partnering and looking to expand operations in North America to work around new tariffs.

RYZ is a clear beneficiary of the “Made in America” policies and the combined scale of the merged company allows RYZ to be a one-stop partner for larger players relocating operations to the US.

In addition to the onshoring trends RYZ also benefits from other government policies including the Chips Act, Inflation Reduction Act, Infrastructure and Jobs Act playing a key roll in the buildout of the electrical grid, data centers and renewable energy.

Leverage Targets (Net Debt to EBITDA)

The company is targeting 0.5-2x from a current 4x. Two and a half quarters of Olympic Steel EBITDA are not in the ratio – coupled with merger synergies we should be at the end by the end of next year. Capital allocation priorities are paying down debt, maintaining a near 3% dividend and a small buyback as shares sold off towards book value.

We like the go-forward earnings power of the company moving forward as they continue to take share in a consolidating industry. We think the stock is more appropriately valued in the mid-\$30's on a combo of increasing EBITDA (business improvement and synergies) and a multiple towards the high end of RYZs historical range given the increased scale and reduced cyclical of the combined business.

Management seems to want investors to price shares on book value (see Keybank slide).

PRICE TO BOOK BELOW PEERS

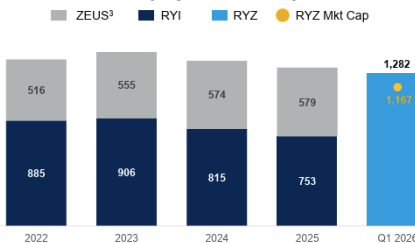
RYERSON

	Peer Average ¹	Ryerson
Price/Book as of 3/31 ²	1.87	0.91
Implied RYZ share price at peer P/B average:		~\$46/share

As of 3/31, Ryerson traded at a discount to book value of equity, generating a price to book ratio significantly discounted relative to peers.

Post-merger, with increased scale and synergistic growth opportunities we can expect to improve through-the-cycle earnings and close the price to book value multiple difference thus achieving an industry-average ratio price to book ratio that would imply a price of approximately \$46/share. |

Book Value of Equity & Market Capitalization, \$M



Peers include Reliance, Russel, and Worthington Steel. ¹Peer P/B ratios are as of 3/31/26 except Worthington Steel which is as of 2/28/25. ²ZEUS's 2025 book value of equity is represented by Q3 2025.

The CEO went through a phase of signing off from conference calls with “thanks for tuning into WRYZ” like a NESAC disc jockey and the number of listeners to the earnings call doesn’t appear to be much more than that of a terrestrial radio show in a sleepy northeast college town. He’s dropped the DJ schtick but was pleading for questions at the end of the last call so investor interest / awareness is an issue.

Overall, we think the earnings power of the business is improving as synergies roll through, the combined company can better serve larger customers and take share through an increased footprint with reduced cyclical of the combined business.

Risks:

Interest rates continue to dent demand from housing / ag / non AI industrial

Political opposition to data centers intensifies – currently 7% of business and growing

Integration hiccups

Current high leverage could become an issue in a downturn

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Catalyst

Continuing to exceed merger synergies

Improving margins

Leverage ratios come down significantly

Messages

No messages